Unilever in the Global Economy

2020–2025

Speaker 1
Globalisation

Speaker 2
Regional Integration

Speaker 3
MNEs from Advanced Economies

Speaker 4
FDI

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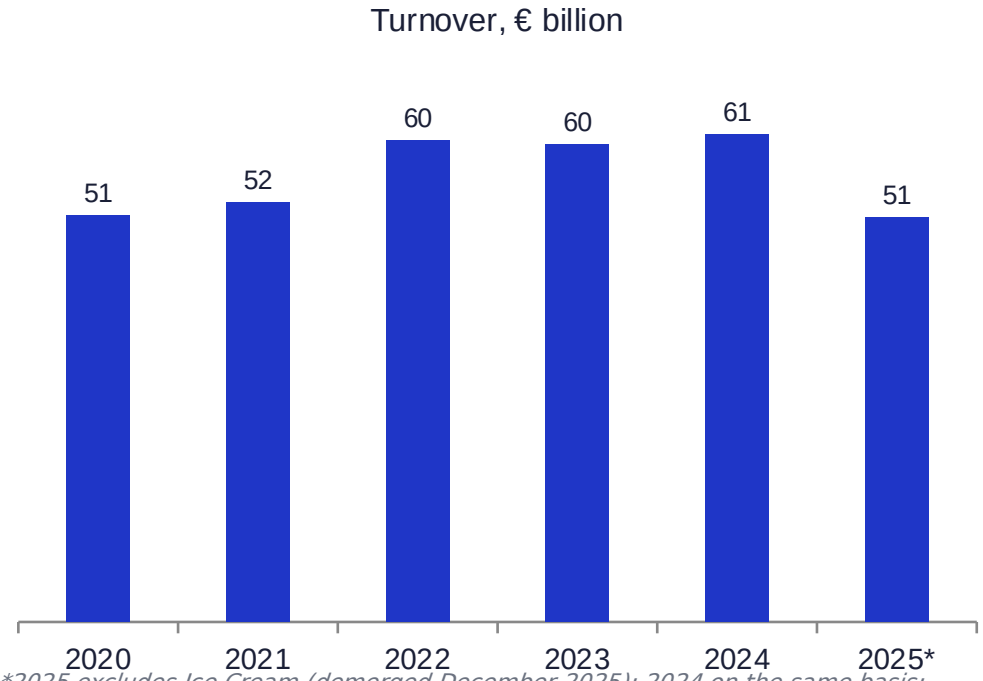
Our mind map

Four branches, one company, one period: 2020–2025



Unilever at a glance, 2020–2025

UK-based consumer goods MNE: beauty, personal care, home care, food



**2025 excludes Ice Cream (demerged December 2025); 2024 on the same basis: €52.5bn.*

59% of turnover from emerging markets (2025)

~190 countries where its brands are sold

3.4bn people use its products every day

118k average employees in 2025 (150k in 2020)

Sources: Unilever PLC (2021; 2026a; 2026b).

Globalisation: one world market?

Levitt (1983) and the five drivers (Lecture 1)

A global company treats the world as one market and sells the same things in the same way (Levitt, 1983).

Five drivers

- Political: lower trade barriers
- Technology: digital, AI
- Market: global customers
- Cost: economies of scale
- Competition: global rivals

Two areas

- Globalisation of markets: new customers, smoother income
- Globalisation of production: make where it is best and cheapest

The tension

- Standardise: global brands
- Localise: local tastes and prices
- Risks: shocks travel fast

Sources: Levitt (1983); University of Greenwich (2026a).

Unilever: global growth, global shocks

Same brands everywhere, but more risk in 2020–2025

Date	What happened	Impact on Unilever
Mar 2020	COVID-19 lockdowns; supply chain change programmes paused	Extra supply-chain costs cut underlying operating margin by ~0.9 points; emerging-market sales growth only 1.2% in 2020
Mar 2022	War in Ukraine: imports, exports and capital flows with Russia stopped	Russia = 1.4% of turnover, ~3,000 staff, 4 factories
Jan–Dec 2022	High inflation: net material inflation €4.3bn	Prices +11.3%, volumes −2.1%; underlying sales growth 9.0%
Oct 2024	Sale of the Russian business to Arnest Group completed	Unilever left a market for political reasons
Dec 2025	Year-end: Asia Pacific Africa 44%, Americas 37%, Europe 19% of turnover	59% from emerging markets: growth now depends on them
2025 report	Rising protectionism and tariffs named as a supply-chain risk	Globalisation is less smooth

So what? Global brands and emerging markets drive growth, but shocks now travel fast.

Sources: Unilever PLC (2021; 2023b; 2025a; 2026a; 2026b).

Regional integration: five levels

Lecture 2: from free trade area to political union

Countries in a region remove barriers between them, step by step. Each level goes deeper.

Five levels

- Free trade area: no tariffs inside
- Customs union: + common outside tariff
- Common market: + free movement of people and capital
- Economic union: + common policy
- Political union

Effects

- Trade creation: more trade between members
- Trade diversion: from a cheaper outside country to a member
- Spreads risk

Limits

- Most agreements stay at level 1
- Only the EU has gone far
- Countries lose some sovereignty

Sources: University of Greenwich (2026b).

Unilever: regional hubs inside trade blocs

Organised in three regions: Asia Pacific Africa · Americas · Europe

Date	What happened	Impact on Unilever
Jul 2020	USMCA (US–Mexico–Canada) enters into force	Mexico plant: $400m (Feb 2023) raised to $800m (Apr 2025); mainly exports to the US and Canada
Nov 2020	Unification: one UK parent, Unilever PLC, based in London	One share class; more flexibility to buy, sell and demerge businesses (used for ice cream, Dec 2025); UNCTAD: $81bn cross-border merger
Dec 2020	Brexit transition ends: UK leaves the EU single market	Head office outside the EU; Europe is 19% of turnover (2025)
Jan 2021	AfCFTA trading begins	Unilever Nigeria (76% owned) is inside an Africa-wide free trade area
Jan 2022	RCEP enters into force (15 Asia-Pacific countries)	Indonesia joins in Jan 2023; Unilever owns 85% of Unilever Indonesia

So what? Trade blocs help Unilever supply many countries from regional hubs, but most blocs are only free trade areas.

Sources: Unilever PLC (2021; 2025a; 2026b); UNCTAD (2021); USTR (n.d.); AfCFTA Secretariat (n.d.); ADB (2021); MND Staff (2025).

MNEs from advanced economies

Lecture 4: MNE goals vs host-country goals

An advanced-economy MNE goes abroad to use advantages it already has. Its goals and the host country's goals can clash.

MNE goals

- High returns
- More sales
- Lower costs
- Share risk
- Better technology

Host-country goals

- Jobs and growth
- Technology
- Control of the economy
- A fair share of profits
- Clean environment

When they clash

- Creeping expropriation: new taxes and rules
- Outright expropriation
- Profits leaving the country

Sources: University of Greenwich (2026c).

Unilever: British advantages, local partners

Brands and R&D from home; shared ownership abroad

Date	What happened	Impact on Unilever
2020–2024	R&D spending grows from €800m to €987m a year	Technology and brands: ownership advantages from an advanced economy
Mar 2024	Productivity programme: about 7,500 office jobs to go	Target €800m savings in 3 years; €200m saved and 4,300 jobs gone by Dec 2024; €850m restructuring costs in 2024
Oct 2024	Russian business sold, after staying since Mar 2022	Protected assets for 2½ years, but clashed with home and host politics
Dec 2024	Local listed subsidiaries: India 61.9%, Indonesia 85%, Nigeria 76%	Local investors share profits; lowers political risk
Apr 2025	Hindustan Unilever buys 90.5% of Minimalist (Rs 2,670 crore; announced Jan 2025)	Moves Beauty & Wellbeing in India towards faster-growing spaces
Dec 2025	30 Power Brands make 78% of turnover	Global brands are the core of its advantage

So what? Unilever's advantages come from home, but it must balance profit with host-country jobs and politics.

Sources: Unilever PLC (2021; 2025a; 2025b; 2026a; 2026b); Entrackr (2025).

FDI: why and how firms invest abroad

Lecture 3 · World FDI: $1.0tn in 2020 (−35%) → $1.6tn in 2025 (UNCTAD)

FDI: a company owns and controls a business in another country, by building it (greenfield) or buying it (M&A).

OLI model (Dunning)

- O – Ownership: brands, technology
- L – Location: big market, low costs
- I – Internalisation: own it, do not license it

Four motives

- Market-seeking
- Resource-seeking
- Efficiency-seeking
- Strategic asset-seeking

Two modes

- Greenfield: build new; slower, full control
- M&A: buy; faster, but integration is hard

Sources: Dunning (1988); University of Greenwich (2026d); UNCTAD (2021; 2026).

Unilever FDI ①: build and buy

Greenfield in big markets, M&A for beauty and wellbeing brands

Date	What happened	Impact on Unilever
Jun 2020	Greenfield: €100m Taicang ice cream plant, China (150,000 t a year)	Largest recent food investment; WEF "lighthouse" factory (Sep 2021); opened Apr 2022 · market-seeking
Aug 2021	M&A: Paula's Choice (US skincare), 100%, €1.83bn	Prestige Beauty double-digit growth in 2022; slowed with US premium beauty in 2024; back to growth H2 2025
Jul 2022	M&A: Nutrafol (US hair wellness), stake raised to 80% for €811m	Led double-digit Wellbeing growth in 2025; first launch outside the US (Canada, 2023)
Feb 2024	M&A: K18 (US hair care), 91.88%	Grew double-digit in 2024
Apr 2025	Greenfield: Mexico plant raised from $400m (Feb 2023) to $800m	850 direct jobs; mainly exports to the US and Canada · market- and efficiency-seeking
Sep 2025	M&A: Dr. Squatch (US men's care), 98.7%, €1.24bn	Moves Unilever into "premium and high-growth spaces" · strategic asset-seeking

So what? Brands are the ownership (O) advantage; Unilever buys brands and online skills it does not have.

Sources: China Daily (2020); Xinhua (2022); MND Staff (2025); Unilever PLC (2022; 2023b; 2024; 2025a; 2025b; 2026a; 2026b).

Unilever FDI ②: sell and focus

Divesting slower businesses changed the size and shape of Unilever

Date	What happened	Impact on Unilever
Jul 2022	Tea business (ekaterra) sold to CVC for €4.59bn (announced Nov 2021)	Gain €2.3bn; net debt fell; turnover 1.7% lower in 2023
Oct 2024	Russian business (4 factories) sold to Arnest Group; price not disclosed	Net loss €406m on four disposals that year (incl. Russia)
Dec 2025	Magnum Ice Cream Company demerged (announced Mar 2024); Unilever keeps 19.85%	2024 turnover restated €60.8bn → €52.5bn; demerger gain €3.4bn; stake worth €1.7bn

So what? Unilever became smaller, but more focused on beauty, personal care and fast-growing markets.

Sources: Unilever PLC (2022; 2023b; 2025b; 2026a; 2026b).

Conclusion: smaller, but more focused

What our four theories tell us about Unilever, 2020–2025

Globalisation	Global brands and emerging markets (59% of turnover) drive growth, but COVID-19, inflation and Russia show the risks.
Regional Integration	One UK parent since November 2020; regional hubs in Mexico, Indonesia and Nigeria use trade blocs, which are mostly shallow.
MNEs from Advanced Economies	Brands and R&D are its advantages; local listings share profits, but job cuts and Russia show goal conflicts.
FDI	Brands are the ownership advantage: it builds in big markets, buys beauty brands and sells slower businesses.

From 2020 to 2025, Unilever became smaller, but more focused on beauty, personal care and fast-growing markets.

Thank you

Questions are welcome

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